

INTERNATIONAL BUSINESS

Concept, Analysis & Strategy

Managerial perspective with global business cases



Learning Outcomes

By the end of the unit, students should be able to:

Explain the meaning, evolution, nature and scope of international business.

Distinguish domestic business from international business and identify cross-border complications.

Analyse why firms internationalize and how internationalization typically progresses.

Apply the EPRG framework to managerial decisions on standardization, adaptation and control.

Recognize the role of trade, culture, regulation, finance, supply chains and geopolitics.

Evaluate the strategic implications of operating as or competing with a multinational enterprise.

Why International Business Matters to an MBA Manager

Think beyond “selling abroad”: international business changes the decision environment.

Strategy

Where should the firm compete? How much should it adapt?

Marketing

Who is the customer—and what does “value” mean locally?

Finance

How do currency, capital and country risk affect returns?

Operations

Where should sourcing, production and distribution occur?

HR

How should global talent, culture and leadership be managed?

Risk

What happens when regulation, politics or supply chains change?

Conceptual Framework of International Business

A manager's view: cross-border activity is an integrated system, not a single function.



Evolution: From International Trade to International Business



What Is International Business?

International business refers to business activities that cross national boundaries—trade, investment, technology, people, contracts and managerial coordination.



Cross-border

At least two national environments



Managerial complexity

Different rules, cultures and risks



Strategic choice

Market, mode, location and control



Value creation

Access markets, resources and capabilities

Example: Tata Group — From Indian Firm to Global Enterprise

Illustrates why international business is more than exporting

CASE / EXAMPLE

Tata Group provides a useful Indian example of internationalization. Its businesses operate across multiple countries and sectors, meaning managers must coordinate customers, talent, technology, capital, regulation and brands across national boundaries. The strategic issue is not simply “how to sell abroad”, but how to create and coordinate value across countries.

Which functions become more complex when a firm operates internationally?

What capabilities are needed at headquarters and in foreign markets?

Does global expansion automatically create competitive advantage?

MANAGERIAL TAKEAWAY

Internationalization changes the firm’s entire managerial architecture—not just its sales territory.

Nature of International Business

Complex

Economic, political, legal, cultural and technological forces interact.

Dynamic

Markets, regulations, technologies and geopolitical conditions change.

Cross-cultural

Language, values, norms and consumer behaviour affect decisions.

Risk-bearing

FX, political, supply-chain and country risks can alter outcomes.

Integrated

Marketing, finance, HR, operations and strategy become interdependent.

Opportunity-seeking

Firms pursue markets, resources, efficiency and learning.

Scope of International Business

Trade

Exports & imports of goods and services

Market expansion

Entering and serving foreign customers

Licensing & franchising

Transfer of brand, know-how or business model

Global supply chains

Cross-border sourcing, production and logistics

International finance

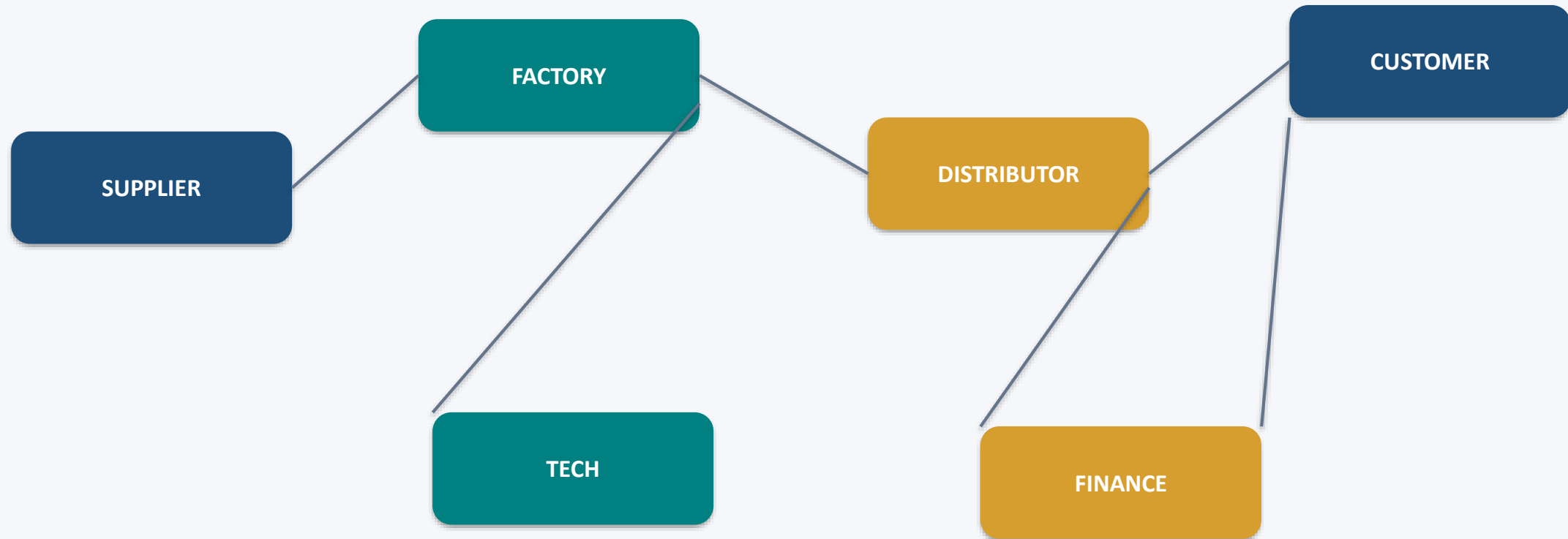
FX, payments, cross-border financing & investment

People & technology

Talent mobility, knowledge and technology transfer

Globalization & Interconnectedness

The “global ecosystem” perspective



Managerial implication: a disruption in one country can propagate through the entire value chain.

Example: A Smartphone's Global Value Chain

Use a product to visualize globalization and interconnectedness

CASE / EXAMPLE

Consider a smartphone sold in India. Design, software, components, manufacturing, logistics, finance, marketing and after-sales service may involve different countries and firms. A disruption in one location can affect availability, cost or delivery in another market.

Which activities should be global and which should be local?

Where would you place resilience buffers?

What risks arise from supplier concentration?

MANAGERIAL TAKEAWAY

Globalization creates efficiency and access to capabilities, but interdependence also creates transmission of shocks.

Cultural Diversity & Cross-Cultural Interaction

Culture affects what customers value, how employees behave and how partners negotiate.

Language differences can change the meaning and effectiveness of communication and promotion.

Business norms—time, hierarchy, trust, formality and negotiation—vary across societies.

Managers must distinguish “different” from “wrong”: local practices may reflect local institutions and expectations.

Cross-cultural competence becomes a strategic capability, not merely an etiquette skill.

Caselet: McDonald's — Global Brand, Local Adaptation

A classic example of cultural responsiveness

CASE / EXAMPLE

McDonald's is a useful classroom example of adaptation. In India, menu design has been adjusted to local food preferences and sensitivities; the source teaching deck specifically uses the absence of pork and beef in its India example. The broader lesson is that a global brand may need local product and marketing decisions to achieve market acceptance.

What is being standardized: brand, systems, or product?
Why can a successful home-market product fail abroad?
Where would you draw the line between adaptation and loss of global identity?

MANAGERIAL TAKEAWAY

Global scale does not eliminate local preferences; managers must decide what the brand can standardize and what it must adapt.

Legal & Regulatory Frameworks

Import/export regulations and customs procedures

Tariffs, quotas and other trade-policy instruments

Intellectual property and technology protection

Labour standards, taxation and environmental requirements

Foreign investment rules, licensing and local ownership requirements

Compliance is a strategic issue because non-compliance can destr

Managerial lens

Before entering a country, ask: What must we legally be allowed to do, and under what conditions?

Decision output

Country screening → regulatory due diligence → entry-mode choice → compliance system

Risks & Uncertainties in International Business

Economic

Demand, inflation, recession, interest rates

Political

Policy shifts, instability, sanctions, government action

Currency

Exchange-rate volatility and transaction exposure

Supply chain

Disruption, logistics, supplier concentration

Geopolitical

Conflicts, trade tensions and strategic decoupling

Reputation

Cultural mistakes, ethics and stakeholder reactions

International Trade: The Foundation

Export

Domestic firm sells goods/services to a foreign customer.

Import

Firm purchases goods/services from an overseas source.

Why trade?

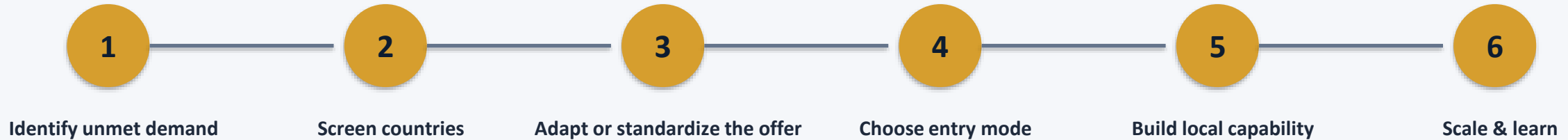
Market access + resource access + comparative advantage.

Trade links firms to customers and suppliers beyond the home market.

International trade is affected by tariffs, non-tariff barriers, documentation, logistics and payment mechanisms.

Trade decisions are therefore simultaneously commercial, operational and financial.

Market Expansion: Going Beyond Domestic Boundaries



Core tension

Global scale creates efficiency; local adaptation creates relevance. International strategy balances both.

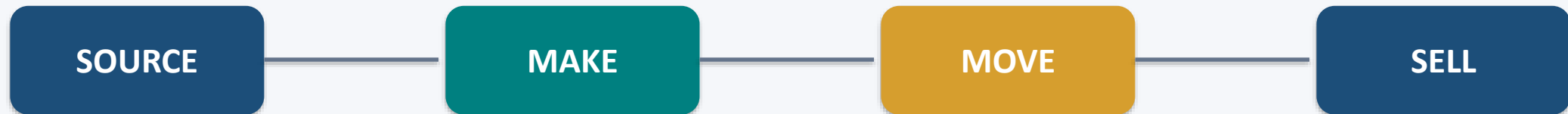
Global Supply Chains

Components, raw materials and finished products may cross multiple countries.

Managers coordinate suppliers, manufacturers, logistics providers, distributors and customers.

Global sourcing can lower cost or improve capability—but can also increase exposure to disruption.

Supply-chain design is a strategic choice: efficiency, resilience, visibility and flexibility must be balanced.



International Financial Management

Foreign exchange

Currency movements affect revenues, costs and margins.

Payments

Cross-border transactions require reliable payment mechanisms.

Financing

Firms compare domestic and international sources of capital.

Risk management

Exposure can be measured, monitored and hedged.

Investment

Country risk and expected return influence capital allocation.

Cash management

Global operations require coordination of liquidity across markets.

Global Economic & Political Environment

Macroeconomic conditions influence demand, cost of capital and investment attractiveness.

Political stability affects predictability of business operations.

Trade agreements can expand market access; tariffs and sanctions can restrict it.

Geopolitical dynamics can change sourcing, technology access, logistics and market priorities.

International managers must continuously scan the external environment rather than treat country risk as a one-time checklist.

Domestic Business vs International Business

Dimension	Domestic business	International business
Geographic distance	Usually lower	Often higher
Language & culture	Relatively familiar	May differ significantly
Legal environment	One primary national system	Multiple legal/regulatory systems
Currency	Usually one currency	Foreign-exchange exposure
Trade barriers	Limited internal barriers	Tariffs, quotas, customs and NTBs may apply
Documentation	Relatively simpler	More extensive cross-border documentation
Risk	Primarily domestic	Country, political, FX & geopolitical risks added
Managerial challenge	Coordination within one environment	Coordination across environments

Caselet: Same Product, Different Business Environment

Why domestic and international business are not simply “the same thing at a larger scale”

CASE / EXAMPLE

Imagine an Indian manufacturer selling only in Madhya Pradesh versus exporting the same product to Germany. The product may be identical, but the manager now faces foreign currency, customs, documentation, different regulations, consumer expectations, logistics and potentially different liability or standards.

Which new risks appear first?

Which functions in the company must change?

Would you price the product the same way in both markets?

MANAGERIAL TAKEAWAY

The international dimension adds institutional, cultural, financial and operational complexity.

Why Do Firms Internationalize?

Higher profits

Foreign markets may offer stronger demand or margins.

Excess capacity

Sell production beyond the limits of the home market.

Home-market competition

Seek less crowded or more attractive markets.

Limited home market

Small population or purchasing power encourages expansion.

Resources & capabilities

Access raw materials, talent, technology or knowledge.

Strategic learning

Gain capabilities by competing and operating internationally.

Caselet: Why Leave a Comfortable Home Market?

Internationalization as a strategic response to constraints and opportunities

CASE / EXAMPLE

A successful Indian manufacturer has strong domestic sales but faces slowing growth, intense competition and excess production capacity. Management identifies an overseas market where demand is growing and local competition is less intense. Internationalization can therefore be both opportunity-seeking and constraint-driven.

Is the main motive growth, profit, capacity utilization or diversification?

What evidence should management collect before entering?

Could internationalization reduce risk—or increase it?

MANAGERIAL TAKEAWAY

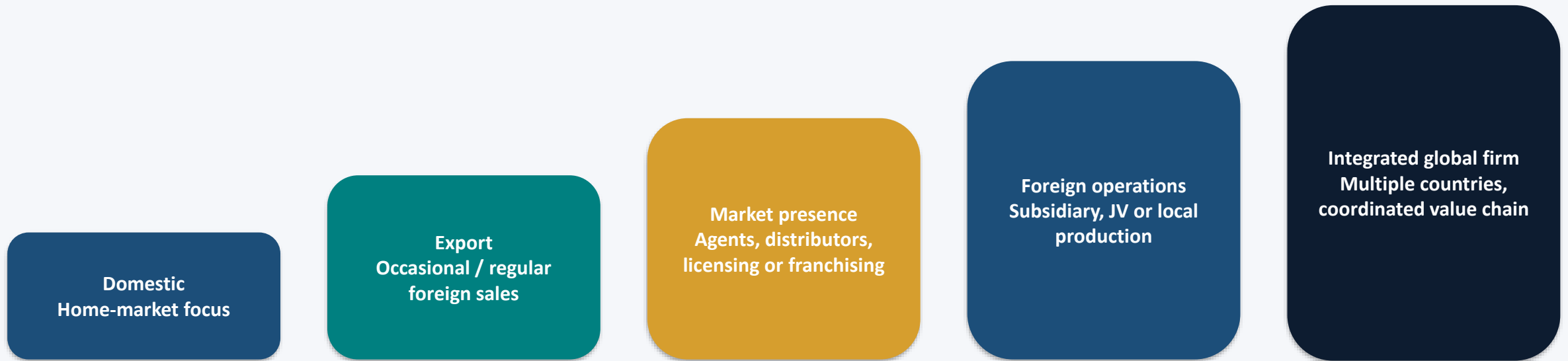
Internationalization should be linked to a clear strategic motive, not pursued simply because “global” sounds attractive.

Stages of Internationalization

From low commitment to deeper foreign involvement

Important

Internationalization is not always linear. Firms may accelerate, pause, reverse or redesign their international footprint.



Caselet: From Exporter to Local Operations

Illustrating the deepening commitment of internationalization

CASE / EXAMPLE

Consider a firm that first receives foreign orders, then appoints an overseas distributor, later creates a sales office, and eventually establishes local production. Each step increases commitment, investment and control—but can also improve market knowledge and responsiveness.

What triggers movement from one stage to the next?

At which stage does country risk become most significant?

When would you stop or reverse international expansion?

MANAGERIAL TAKEAWAY

Internationalization often involves increasing commitment and learning; managers should match commitment to uncertainty and opportunity.

EPRG Framework: Four Managerial Orientations

Associated with Howard V. Perlmutter / Wind–Perlmutter tradition



Ethnocentric

Home-country logic dominates



Polycentric

Each host country gets local autonomy



Regiocentric

Strategy organized around regions



Geocentric

World viewed as an integrated talent and market system

EPRG 1 — Ethnocentric

“Our home-market way is the default.”

Home-country assumptions dominate product design, marketing, staffing and decision-making.

Foreign markets are often treated as extensions of the domestic market.

Advantage: consistency, speed and lower adaptation cost.

Risk: home-market assumptions may not fit local customer needs or conditions.

Source-deck illustration: early Nissan exports to the U.S. showed the danger of assuming Japanese winter practices would transfer directly.

Managerial question

What are we assuming is universal simply because it works at home?

EPRG in Action: Ethnocentric Orientation

Source-deck example: early Nissan exports

CASE / EXAMPLE

Nissan example:
vehicles exported to the United States were difficult to start in cold winters, while the company's Japanese experience had encouraged different winter practices. The lesson is not that the product was inherently poor; rather, home-market assumptions were transferred to a different environment.

What assumption was transferred from Japan to the U.S.?

How could market research have changed the decision?

When can ethnocentricity be efficient?

MANAGERIAL TAKEAWAY

Ethnocentricity can reduce adaptation costs, but it becomes dangerous when managers mistake home-market conditions for universal conditions.

EPRG 2 — Polycentric

“Let each country adapt to its own market.”

Foreign subsidiaries receive substantial autonomy in decision-making.

Local managers design policies and strategies around host-country conditions.

Advantage: strong local responsiveness and market knowledge.

Risk: duplication, weaker global coordination and loss of scale economies.

Useful when customer preferences, regulation and cultural conditions differ sharply.

EPRG 3 — Regiocentric

“Manage countries as connected regional markets.”

Countries are grouped into regions with related market or institutional characteristics.

Products or policies may be adapted at the regional level while allowing local execution.

Advantage: balance between scale and local responsiveness.

Risk: regional logic may overlook important country-level differences.

Example: regional adaptation can be combined with country-specific marketing strategy.

ASIA

EUROPE

AMERICAS

EPRG 4 — Geocentric

“Use the best ideas and talent wherever they are.”

The world is treated as an interconnected system rather than a collection of isolated markets.

Talent, knowledge and capabilities can be sourced globally.

Subsidiaries and headquarters can contribute to strategy, innovation and operations.

Advantage: global learning, capability sharing and stronger integration.

Risk: higher coordination complexity and the need for sophisticated global governance.

illustration

Global media can combine local content with global organizational capabilities.

EPRG Comparison: One Product, Four Management Logics

A classroom exercise rather than a single “correct” answer

CASE / EXAMPLE

Take an Indian consumer-electronics company entering Europe. An ethnocentric manager may export the Indian product and policies; a polycentric manager may allow each country subsidiary to redesign the offer; a Regio centric manager may develop a European strategy; a geocentric manager may combine the best talent and ideas from India and Europe.

Which approach gives the highest local responsiveness?

Which gives the strongest global integration?

Which approach would you recommend for a fast-changing technology product?

MANAGERIAL TAKEAWAY

EPRG is a lens for understanding managerial orientation; the appropriate choice depends on industry, strategy, country differences and organizational capabilities.

Multinational Corporation (MNC)

Working definition

A firm with business operations in countries beyond its home country; MNCs commonly coordinate geographically dispersed activities through a global management structure.

Key characteristics

Global footprint • substantial assets • professional management
• technology/R&D capability • marketing reach • coordination/control

Scale & assets

Control & coordination

Technology & R&D

Professional management

International marketing

Global resource access

Caselet: Managing an MNC — The Coordination Problem

Why global scale creates both strength and complexity

CASE / EXAMPLE

An MNC may have a headquarters in one country, manufacturing in another, R&D in a third, suppliers across several markets and customers worldwide. The firm benefits from scale and access to capabilities, but must coordinate standards, knowledge, talent, capital and decision rights across borders.

What should headquarters control?

What should subsidiaries decide locally?

How can an MNC avoid both excessive centralization and excessive fragmentation?

MANAGERIAL TAKEAWAY

The central MNC challenge is balancing global coordination with local responsiveness.

International Manager's Toolkit

Turn concepts into a repeatable decision process.

Country screening

PESTLE • market size • institutions • risk

Distance analysis

Culture • administration • geography • economics

Entry mode

Export • license • franchise • JV • subsidiary

Global-local balance

EPRG • standardization vs adaptation

Risk design

FX • political • supply chain • compliance

Performance

ROI • market share • learning • resilience

Mini Case: An Indian EV Startup Goes International

Decision exercise

A fast-growing Indian electric-scooter company wants to enter Southeast Asia. Management sees attractive urban mobility demand but faces different regulations, consumer preferences, charging infrastructure, local competitors, FX risk and supply-chain constraints.

- 1. Which country would you screen first—and why?**
- 2. What should be standardized vs adapted?**
- 3. Which EPRG orientation fits the strategy?**
- 4. Export, JV or wholly owned subsidiary?**
- 5. What are the top 3 risks and mitigations?**

Integrated Case: Indian Company Entering a Foreign Market

Capstone case

CASE / EXAMPLE

An Indian food-processing company wants to enter a Southeast Asian market. The market offers strong urban demand, but local tastes differ, regulations require local compliance, competitors already have distribution networks, and currency movements could affect margins. The CEO asks the strategy team for a market-entry recommendation.

Select the target country and justify it.

Choose an EPRG orientation.

Recommend export, licensing, JV or wholly owned entry.

Identify 3 major risks and mitigation strategies.

State what should be standardized and what should be adapted.

MANAGERIAL TAKEAWAY

A good international strategy connects country analysis, entry mode, EPRG, risk management and implementation—not isolated tools.

Key Takeaways

International business is broader than international trade: it includes markets, capital, people, technology and organizational coordination.

Globalization creates opportunity through interconnected markets—but also transmits shocks across borders.

Culture, law, politics, economics and technology shape the attractiveness and feasibility of international strategies.

Internationalization can deepen from exporting to foreign operations and globally integrated activity.

EPRG helps managers understand the balance between home-country control, local responsiveness, regional coordination and global integration.

Successful international managers combine analytical tools with cultural intelligence and risk awareness.

Discussion & Assessment

Concept check

Differentiate domestic and international business using five dimensions.

Application

Explain why a firm with a strong domestic market might still internationalize.

Analysis

Apply EPRG to a multinational of your choice.

Evaluation

Should global firms prioritize standardization or local adaptation?

Case task

Design an entry strategy for an Indian company entering one foreign market.

Reflection

Which international-business capability should an MBA graduate develop first?

References & Teaching Base

A. Nag, International Business: Concept, Analysis and Strategy.

Additional conceptual framing in this presentation: international strategy, global-local integration, country risk and managerial decision-making.